

organised part of that market, by value, stood at ₹50,000 crore in 2019, as per estimates by PwC, which further projects the organised market to grow to ₹1,95,200 crore by 2035. The big opportunity: in spite of newer players entering the market, branded companies sell only a tenth of all furniture sold in India.

IKEA's plan is to capture the millions of young Indian consumers who are on the verge of starting their family—either alone in a new city or with their partners. According to Bedraj Tripathy, a branded furniture industry veteran and currently Co-founder & CEO of UnboxSpaces, IKEA is eyeing a fraction of the vast home furnishings market for now. “Typically, it is the younger consumers that are exposed to the IKEA brand. This group comprises about 200-250 million consum-

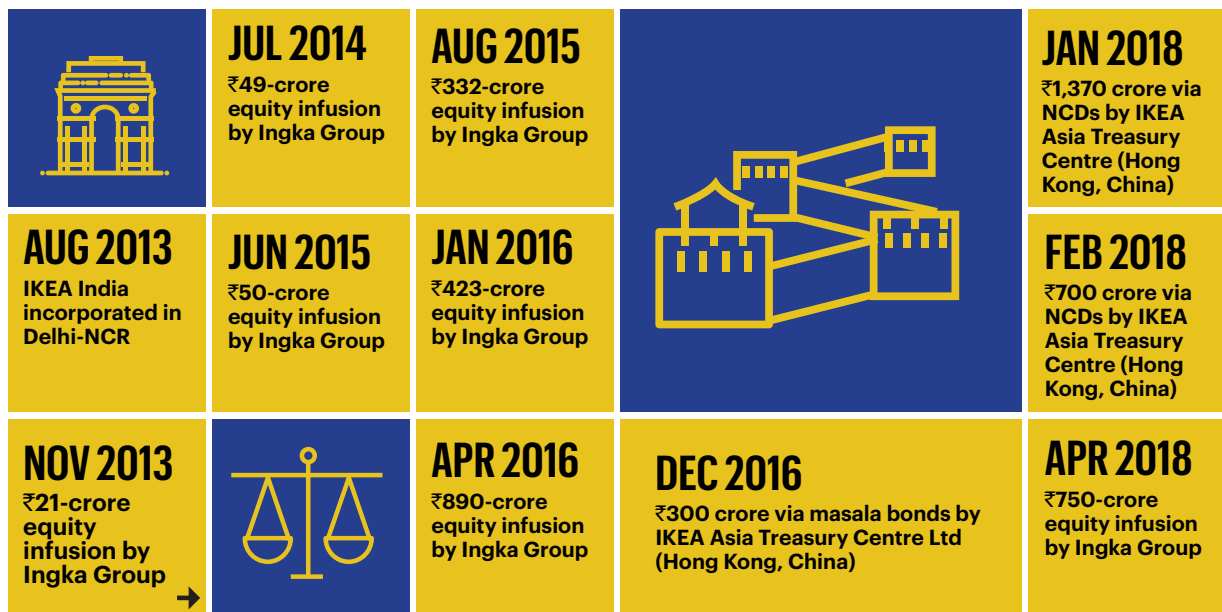
ers,” he says. Young millennials, consumers who may have started earning but are yet to turn rich, are the ones who currently fit its target profile.

The millennial is just one piece of the long-term puzzle. If India's home furnishings market is set for a bull run, IKEA is preparing to ride the animal. The company's market researchers noted in a recent report: “The current level of growth in output (supply) is not sufficient to meet this demand. Based on the business-as-usual scenario, the sector's output will expand to about 1.5 times by 2035, from \$6.96 billion in 2019 to approximately \$10.4 billion by 2035, which is quite below the expected domestic future demand by 2035. Thus, it reflects that systemic inefficiencies will ensure that the furniture industry in India will continue to depend on imports

for meeting demands of finished and intermediate goods.” In this scenario, IKEA hopes its global network of suppliers will place it at an advantage over local players.

At the same time, Pulverer says the company has set a target of locally sourcing half of what it sells in India, up from 27 per cent. Over the years, IKEA has secured sourcing partners for textiles, carpets and smaller home furnishing accessories at constant quality. Now it is looking to begin sourcing mattresses locally. “Then sofas, metal furniture and then wooden furniture. That's a very big step, where we need partners to invest to build [supply] capability,” she says. The criticality is apparent because wooden furniture still makes up the bulk of IKEA's sales and forms its primary identity amongst consumers. Increasing local sourcing is crucial for its suc-

THE ₹9,325-CRORE JOURNEY



DATA TILL JUNE 6; **SOURCE** REGISTRAR OF COMPANIES, MINISTRY OF CORPORATE AFFAIRS, COMPANIES, INDUSTRY